



Important Accounting terms

Revenue

The increase in capital resulting from the delivery of goods or rendering of services by the business. It is equal to the cash and receivables gained in compensation for the goods delivered.

Expenses

Excel Review Center

The decrease in capital caused by the business's revenue-producing operations. It is equal to the value of goods and services used up or consumed in obtaining revenue.

Cost of Goods Sold (CGS)

Cost required to produce the product or service.

Gross profit

The selling price of a product or service minus its direct costs.

Net income

The increase in capital resulting from profitable operation of a business; it is the excess of revenue over expenses for the accounting period.

Profit margin

The amount by which revenue exceeds costs, typically described as a percent.

Breakeven point

The level of operations that results in exactly enough revenue to cover costs.

Burn rate

The rate at which cash outflow exceeds cash inflow.

Run rate

The cost of running a business over a specified period of time.

Assets

Properties that are owned and have money value—for instance, cash, inventory, buildings, equipment.

Liabilities

Excel Review Center

Amounts owed to outsiders, such as notes payable, accounts payable, bonds payable.

Intellectual Property



It refers to intangible creations of the human mind, such as inventions, designs, literary and artistic works, symbols, names, and images used in commerce. It is protected by various laws to grant exclusive rights to the creators or owners of such creations.

Patents

Protect inventions and innovations, granting exclusive rights to inventors for a limited period. They prevent others from making, using, selling, or importing the patented invention without permission.

Trademarks

Protect distinctive signs, such as logos, names, phrases, or symbols, that identify and distinguish goods or services of one business from others.

Copyright

Protect original works of authorship, such as literature, music, art, photographs, films, and software. Copyrights grant exclusive rights to the creators or owners, including the rights to reproduce, distribute, display, perform, and create derivative works.

Trade Secrets

Protect confidential and proprietary business information, such as formulas, processes, methods, customer lists, and know-how. Trade secrets provide a competitive advantage as long as they remain confidential.

Industrial Design

Protect the aesthetic or visual aspects of a product's design, including its shape, pattern, or color, giving exclusivity to the creator or owner.

Excel Review Center

Republic Act 8293: The Intellectual Property Code of the Philippines

Date of Approval: June 6, 1997
 Date of Effectivity: June 1, 1998
 Number of Sections: 241

Part 2: The Law of Patents

Part 3: The Law on Copyrights

Part 4: The Law of Trademarks

	Term of Protection
Patent	20 years, non-renewable
Industrial Design	5 years and renewable for not more than 2 consecutive periods of 5 years each
Utility Model	7 years, non-renewable
Copyright	Lifetime of the author + 50 years
Trademark	10 years, renewable for periods of 10 years each

Excel Review Center

Business ethics is the conduct by which companies and their agents abide by the law and respect the rights of their stakeholders, particularly their customers, clients, employees, and the surrounding community and environment.

Key Terms in Ethics

Conflict of interest

when an individual or organization has interests in multiple areas that come into conflict with each other

Excel Review Center

Disclosure

Sharing the needed facts and details about a subject in a transparent and truthful way

Due diligence

Conducting the necessary research and investigation to make informed decisions that minimize risk

Social entrepreneurship

Entrepreneurial ventures focused on identifying a societal problem and creating a product or process to solve that problem